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risk erosion.

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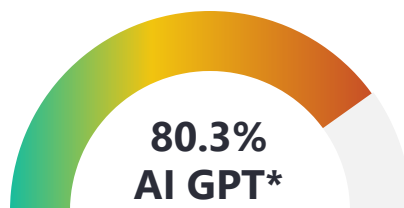


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Overview of the 2023 Consultation vs the 2024 Final Code

The 2023 consultation by the Financial Reporting Council (FRC) proposed a series of revisions to the UK Corporate Governance Code intended to strengthen accountability and align corporate practices with evolving economic and societal expectations. Central to these proposals were five key themes: enhanced internal control reporting, reinforcement of the “comply or explain” principle, expanded sustainability and ESG responsibilities, improved board diversity and inclusion, and stronger malus and clawback arrangements (FRC, 2023). The consultation marked a clear attempt to modernise the Code by integrating lessons from post-pandemic corporate resilience and the growing international shift towards sustainability reporting frameworks like the EU Corporate Sustainability Reporting Directive (CSRD, 2023) and the Task Force on Climate-Related Financial Disclosures (TCFD, 2021). However, the 2024 final revision reflected a more cautious regulatory stance. The FRC limited changes primarily to internal controls, requiring boards to ensure a declaration of their design and effectiveness but dropping the proposals related to ESG oversight, diversity benchmarks, and audit committee responsibility for sustainability assurance (FRC, 2024). While the focus on controls aligns with the post-Carillion demand for stronger assurance mechanisms and mirrors the COSO (2017) framework’s emphasis on control integrity, it simultaneously reduced the reform’s breadth. By prioritising technical compliance over broader governance innovation, the FRC effectively signalled a retrenchment from its 2023 ambition to embed sustainability and inclusion into boardroom accountability.

This narrowing can be interpreted through both political and institutional lenses. The UK Government’s 2023 White Paper response on corporate reform favoured a “proportionate” regulatory model to avoid deterring investment during a fragile post-Brexit economy (HM Government, 2023). The FRC’s final position thus appears shaped by a policy trade-off between enhancing accountability and preserving business competitiveness. Large listed companies had expressed concerns about the compliance burden of expanded ESG reporting and board diversity expectations (PWC, 2024; KPMG, 2024), influencing the regulator’s retreat to a narrower reform. Yet, this decision risks undermining the UK’s reputation as a global leader in governance innovation.

Internationally, countries like Germany and South Africa have already codified ESG integration and ethical leadership principles within their national frameworks (King IV, 2016; Deutscher Corporate Governance Kodex, 2023). By contrast, the UK's 2024 Code appears reactive rather than progressive, focusing on risk containment rather than strategic foresight. The outcome reflects a shift in regulatory philosophy, from governance as stewardship and sustainability to governance as control and compliance, raising critical questions about whether the revised Code still fulfils its purpose of promoting "good corporate governance" in a dynamic, socially accountable business environment.

Critical Evaluation: The 2024 Code and Good Corporate Governance

The 2024 revision of the UK Corporate Governance Code re-centres the discussion of governance on internal control systems, reflecting the Financial Reporting Council's renewed focus on reliability, assurance, and board accountability. At face value, this emphasis aligns with the COSO (2017) framework, which defines internal control as a process designed to provide reasonable assurance regarding the achievement of objectives related to operations, reporting, and compliance.

Strengthened internal controls can, in principle, promote good corporate governance by reducing financial misstatements, enhancing transparency, and ensuring directors' responsibility for risk management (FRC, 2024). However, when governance becomes synonymous with control, its broader social and ethical dimensions risk erosion.

From a theoretical standpoint, the 2024 Code reinforces agency theory's central concern, reducing opportunistic managerial behaviour through monitoring mechanisms (Jensen and Meckling, 1976). Requiring boards to confirm the design and effectiveness of internal controls institutionalises this monitoring and reassures investors of managerial discipline. In practice, this development echoes post-scandal reforms like the Sarbanes–Oxley Act (2002) in the United States, which mandated similar internal control attestations (Section 404). Evidence from Deumes and Knechel (2008) shows that strong internal control disclosures improve investor confidence and reduce the cost of capital. Yet, critics argue that excessive focus on compliance can create "box-ticking governance", where form overrides substance (Tricker, 2022). The UK risked this dynamic after the Carillion collapse (2018), where compliance documentation existed but failed to prevent catastrophic governance failure.

Furthermore, the Code's internal control provisions, though essential, are not transformative in addressing the multidimensional nature of "good governance" as articulated by the OECD (2023), which includes accountability, fairness, transparency, and responsibility to a broad range of stakeholders. Effective governance cannot be achieved solely through financial controls; it requires cultural integrity and ethical leadership. Research by Solomon (2023) and Aguilera et al. (2018)

demonstrates that governance systems overly dominated by compliance often neglect the human and behavioural aspects of decision-making, like leadership ethics, board culture, and psychological safety, all of which determine the practical success of governance frameworks.

In defending its narrowed focus, the FRC justified that a proportionate reform would maintain business competitiveness and avoid regulatory fatigue (FRC, 2024). However, this argument overlooks the growing investor demand for non-financial assurance and the global trend toward integrated ESG reporting. Studies reveal that 85% of institutional investors now incorporate ESG factors into investment decisions (Deloitte, 2024), indicating that good governance is increasingly equated with responsible stewardship rather than technical compliance. The FRC's reluctance to embed sustainability responsibilities into the 2024 Code thus weakens its relevance to contemporary governance practice.

Empirical evidence also questions whether internal control emphasis alone leads to better outcomes. The Barclays LIBOR manipulation case (2012) and Patisserie Valerie accounting fraud (2019) both occurred under formal compliance regimes, exposing the limits of procedural control when board ethics and culture are deficient. As Tricker (2022) notes, governance systems fail not because of inadequate rules but because of inadequate principles in practice. The 2024 Code, by concentrating reforms within a narrow technical frame, risks repeating the historical pattern of reactive governance reform rather than anticipatory leadership.

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